

23AHCV02287 23AHCV02287

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Case Number: 23AHCV02287 Hearing Date: September 8, 2026 Dept: P

[TENTATIVE] ORDER DENYING CROSS-DEFENDANT'S YUSHAN HAN AND LI LIU'S MOTION FOR ATTORNEY'S FEES

I. INTRODUCTION

This is an action for breach of contract. Plaintiff Express Restoration Corp. alleges that on January 9, 2023, it entered into an agreement with Defendant 1927 Strathmore Townhouse Homeowners Association to perform emergency work at property located at 1927 Strathmore Avenue, San Gabriel, CA 91776, after there was a fire on the property, including water mitigation, mold mitigation and fire mitigation work. Plaintiff alleges that Defendant breached the agreement by failing to pay Plaintiff for work performed. The complaint alleges the following causes of action: (1) to foreclose mechanic's lien; (2) breach of contract; (3) for work labor and materials furnished; and (4) unjust enrichment. On November 7, 2023, Defendant filed a cross-complaint against Plaintiff, Yushan Han, and Li Liu, alleging causes of action for (1) breach of contract; (2) fraud; (3) violation of Business and Professions Code section 17200, and (4) indemnity.

On December 3, 2025, after a non-jury trial, Plaintiff dismissed its first cause of action, and the Court found that there was no contract and entered judgment in favor of Defendant. The Court specifically found that Plaintiff's witness, Tammy Woloski, was not credible and that Plaintiff had intentionally and fraudulently overbilled Defendant for many thousands of dollars for work that was never performed. As to the cross complaint, the Court found Defendant suffered no financial damages. The Court granted Plaintiff's motion pursuant to CCP section 631.8 and found judgment in favor of Plaintiff as to the cross-complaint.

On August 7, 2026, Cross-Defendants filed the instant motion for attorney's fees. On August 14, 2026, Cross-Complainant HOA filed an opposition. No reply has been filed.

II. LEGAL STANDARD

The court, upon notice and motion by a party, shall determine the prevailing party and shall fix, as an element of the costs of suit, the reasonable attorney fees. (Civ. Code § 1717 subd. (a), (b).) Any notice of motion to claim attorney fees as an element of costs under shall be served and filed before or at the same time the memorandum of costs is served and filed; if only attorney fees are claimed as costs, the notice of motion shall be served and filed within the time specified in California Rules of Court 3.1700 for filing a memorandum of costs. (California Rules of Court 3.1702; *Gunlock Corp. v. Walk on Water, Inc.* (1993) 15 Cal.App.4th 1301, 1303, fn. 1.)

"It is well established that the determination of what constitutes reasonable attorney fees is committed to the discretion of the trial court, whose decision cannot be reversed in the absence of an abuse of discretion. [Citation.]" (*Melnyk v. Robledo* (1976) 64 Cal.App.3d 618, 623-624.) The fee setting inquiry in California ordinarily "begins with the 'lodestar' [method], i.e.,

the number of hours reasonably expended multiplied by the reasonable hourly rate.” (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 154.) “[A] computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys’ fee award.” (Margolin v. Reg’l Planning Comm’n (1982) 134 Cal.App.3d 999, 1004.)

The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided. (See Serrano v. Priest (1977) 20 Cal.3d 25, 49 [discussing factors relevant to proper attorneys’ fees award].) Such an approach anchors the trial court’s analysis to an objective determination of the value of the attorney’s services, ensuring that the amount awarded is not arbitrary. (Id. at 48, fn. 23.) The factors considered in determining the modification of the lodestar include “(1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award.” (Mountjoy v. Bank of Am. (2016) 245 Cal.App.4th 266, 271.)

III. ANALYSIS

Cross-Defendants move for attorney fees pursuant to Civil Code section 1717 and California Rules of Court, rule 3.1702, based on the fees they incurred in defending against the HOA’s cross-complaint in this action.

Cross-Defendants argue that, following trial, the HOA’s cross-complaint against them was dismissed with prejudice, and, therefore, they are the prevailing parties. They further contend that they are entitled to recover their attorney’s fees pursuant to section 14.03 of the HOA’s CC&Rs. That section permits an award of reasonable attorney’s fees and costs to the prevailing party in an action arising from an alleged breach or default under the Declaration. (Motion, pp. 4-6.)

Further, Cross-Defendants acknowledge that instant motion for attorney’s fees is untimely because it was filed on August 7, 2026, which is well beyond the applicable 180-day period. They nevertheless request that the Court extend the time to file arguing that the delay resulted from counsel’s mistake, inadvertence, and excusable neglect. Specifically, counsel states that she mistakenly calendared March 6, 2026, as the date of entry of judgment and, as a result, believed the deadline to file the motion was September 6, 2026. (Motion, p.6.)

Untimeliness

The HOA opposes the motion as untimely, arguing that counsel’s claimed inadvertence is undermined by the fact that Cross-Defendants filed a Memorandum of Costs on January 30, 2026, which indicates that they were aware judgment had been entered before that date. (Opposition, p. 2.)

The Court declines to extend the filing deadline. Cross-Defendants have not demonstrated good cause under rule 3.1702(d). Although counsel attributes the untimely filing to her mistaken belief that judgment was entered on March 6, 2026, Cross-Defendants filed a Memorandum of Costs on January 30, 2026. That filing is inconsistent with counsel’s asserted belief regarding the date of entry of judgment. Cross-Defendants provide no explanation for this discrepancy, and no reply was filed addressing the HOA’s argument. Under these circumstances, the Court is not persuaded that counsel’s calendaring mistake constitutes good cause to extend the filing deadline under rule 3.1702(d). Further the judgment entered on 1/9/26 indicates that “The Court retains jurisdiction to hear and determine the entitlement to and the amount of any costs and/or attorney’s fees upon timely application by the parties.”

Thus, the motion is DENIED as untimely.

Prevailing party

Even if the motion was timely, Cross-Defendants have not established their entitlement to attorney’s fees.

The HOA argues that Civil Code section 1717 does not apply because there was no contract between the HOA and Cross-Defendants upon which the underlying action was based. The HOA contends that its claims against Cross-Defendants were brought under the indemnity provisions of the CC&Rs and that the CC&Rs merely govern the relationship between the HOA and its members, rather than constitute a separately negotiated contract between the parties. (Opposition, pp. 2-4.)

Cross-Defendants contend that they are the prevailing parties for two reasons. First, they argue that they qualify as prevailing parties under Code of Civil Procedure section 1032, subdivision (a)(4), because the HOA's cross-complaint against them was dismissed with prejudice. Second, they contend that they are prevailing parties under section 14.03 of the HOA's CC&Rs, which permits the Court to award reasonable attorney's fees and costs to the prevailing party in an action based on an alleged breach or default under the Declaration.

Following the bench trial, the Court found that no contract existed between Plaintiff ERC and the HOA and entered judgment in favor of the HOA. (4/13/26 Minute Order, p. 1.) As a result, the HOA had no liability to ERC for which it could seek indemnification from Cross-Defendants, and the HOA's cross-claims against Cross-Defendants were subsequently dismissed with prejudice.

The Court agrees that Cross-Defendants qualify as prevailing parties for purposes of CCP section 1032. Section 1032, subdivision (a)(4) defines a prevailing party to include "a defendant in whose favor a dismissal is entered," and for purposes of the statute, a defendant includes a cross-defendant. Moreover, the fact that the HOA's indemnity claims became moot after the HOA prevailed on Plaintiff's complaint does not preclude Cross-Defendants from qualifying as prevailing parties for purposes of costs. (City of Long Beach v. Stevedoring Services of America (2007) 157 Cal.App.4th 672.)

However, prevailing-party status under section 1032 does not, by itself, establish entitlement to attorney's fees. Cross-Defendants must demonstrate an independent statutory or contractual basis for such an award. Cross-Defendants rely on section 14.03 of the CC&Rs, which permits the Court to award reasonable attorney's fees to the prevailing party "[i]n any action on account of any alleged breach or default of any Owner or other party hereto under this Declaration." (Han Decl., Exh. A.)

The Court is not persuaded that Cross-Defendants have established that section 14.03 applies here. Although the HOA's indemnity claim referenced section 4.04 of the CC&Rs, the claim sought indemnification from Cross-Defendants in the event the HOA was found liable to ERC and expressly invoked equitable principles as the basis for such relief. By its plain language, section 14.03 applies to an action "on account of any alleged breach or default" under the Declaration. Cross-Defendants have not shown that the HOA's indemnity claim falls within that language merely because it referenced an obligation contained in the CC&Rs. No reply was filed addressing the HOA's argument. No reply was filed addressing the HOA's argument on this issue.

Thus, even if the motion were timely, Cross-Defendants have not established that section 14.03 provides a basis for an award of attorney's fees.

IV. CONCLUSION AND ORDER

The Court DENIES Cross-Defendants' motion for attorney's fees.

Cross-Defendants' are to give notice.

Dated: September 8, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT